

Instructions for Schedule 1-A

Additional Deductions

General Instructions

Use Schedule 1-A to report additional deductions that can't be entered directly on Form 1040, 1040-SR, or 1040-NR. You can claim these deductions whether you claim the standard deduction or itemize deductions on Schedule A or Schedule A (Form 1040-NR).

These additional deductions are deductions for qualified tips, qualified overtime compensation, no tax on car loan interest, and the enhanced deduction for seniors. The amount on line 38 of Schedule 1-A is entered on Form 1040 or 1040-SR, line 13b, and on Form 1040-NR, line 13c.



If you are filing a tax return on Form 1041 for an estate or trust and intend to claim the deduction for car loan interest, see the "No Tax on Car Loan Interest" worksheet in the Instructions for Form 1041.

Part I

Modified Adjusted Gross Income (MAGI) Amount

Use Part I of Schedule 1-A to figure your MAGI. If you don't have income from Puerto Rico that you excluded from your income, or you aren't filing Form 2555 or 4563, then enter the amount from Form 1040, 1040-SR, or 1040-NR, line 11b, on Schedule 1-A, line 3. If you do have excluded income from Puerto Rico, or you are filing Form 2555 or 4563, complete lines 2a through 2e in Part I of Schedule 1-A to figure your MAGI.

Part II

No Tax on Tips

In general, tips received as an employee or from self-employment must be included in your gross income and are subject to income tax and social security and Medicare tax.

If you received cash and charge tips of \$20 or more in a calendar month and didn't report all of those tips to your employer, you must file Form 4137. You must also file Form 4137 if your Form(s) W-2, box 8, shows allocated tips that you must report as income.

If you have net earnings from self-employment, use Schedule SE to figure the tax due on net earnings from self-employment.

You may be able to claim a deduction for qualified tips paid to you in 2025 that are included on Form W-2, Form 1099-NEC, Form 1099-MISC, Form 1099-K, or reported directly by you on Form 4137.

You can claim this deduction whether you claim the standard deduction or itemize deductions on Schedule A or Schedule A (Form 1040-NR).



If you are married, you must file a joint return with your spouse to claim this deduction.



For tax year 2025, Form W-2, Form 1099-NEC, Form 1099-MISC, and Form 1099-K were not updated to separately identify tips that may qualify for this deduction. See Determining the amount of qualified tips received by employees and Determining the amount of qualified tips received by non-employees, later. Also, see the instructions for lines 4a and 5 for more information about how to identify the qualified tips included in the amounts reported on these forms.

Fill out Schedule 1-A, Part II, only if:

- You (and/or your spouse if filing a joint return) received qualified tips in 2025.

- You have a valid social security number (SSN). If you are married filing a joint return, the spouse who received the qualified tips must have a valid SSN.

Maximum amount of deduction. You can't deduct more than \$25,000 of qualified tips, regardless of your filing status. If you are self-employed, your tips from your trade or business are taken into account in figuring the deduction only to the extent you had net income. Your net income is the gross income from the trade or business in which the qualified tips were received less the amount of the total deductions (other than the deduction for qualified tips) allocable to that trade or business. See [Net income limitation](#), later.



If you are married and filing a joint return, and both you and your spouse have qualified tip income, the \$25,000 maximum amount of deduction limit applies to your combined qualified tip income. It is not a per spouse limit.

The deduction amount (after applying the \$25,000 deduction limit) is reduced if your MAGI is more than the amount shown next for your filing status.

- Married filing jointly—\$300,000.
- Single, Head of household, or Qualifying surviving spouse—\$150,000.

Your MAGI is the amount on line 3 in Part I of Schedule 1-A.

Qualified Tips

Qualified tips are tips that you received from customers or, as an employee, through a tip-sharing arrangement in an occupation that customarily and regularly received tips on or before December 31, 2024. See *Occupations that customarily and regularly received tips on or before December 31, 2024*, later. Qualified tips are tips that are:

- Cash tips,
- Paid voluntarily,
- Not the subject of negotiation, and

- Determined by the customer/payor.

Cash tips. Cash tips are tips received from customers or, in the case of an employee, through a mandatory or voluntary tip-sharing arrangement, such as a tip pool, that are paid in a cash medium, including by cash, check, credit card, debit card, gift card, tangible or intangible tokens that are readily exchangeable for a fixed amount (for example, casino chips), and any other form of electronic settlement or mobile payment app that is denominated in cash. Tips are the excess amount paid by a customer for services over the amount agreed to or otherwise reasonably expected to have been paid for the services in an arm's-length transaction.

Cash tips don't include items paid in any medium other than cash. For example, cash tips don't include:

- Event tickets,
- Meals,
- Services, or
- Other assets that aren't exchangeable for a fixed amount of cash.

TRDA and GITCA programs. Tips reported pursuant to a Tipped Employee Participation Agreement as part of the Tip Rate Determination Agreement (TRDA) program or a Model Gaming Employee Tip Reporting Agreement as part of the Gaming Industry Tip Compliance Agreement (GITCA) program are considered qualified tips as long as the participating employee is otherwise eligible for the deduction for qualified tips and reports tips using the tip rates established under their agreement. An employee participating in a TRDA or GITCA program may report any additional qualified tips on Form 4137.

Paid voluntarily, not subject to negotiation, and determined by the customer/payor. Amounts are qualified tips only if they are paid voluntarily and without any consequence in the event of nonpayment. Qualified tips do not include service charges, automatic gratuities, or any other mandatory amounts automatically added to a customer's bill by the vendor or the establishment, unless the customer is expressly provided an option to disregard or modify such charges, gratuities, and amounts without consequence.

Example 1. You work on the wait staff at a restaurant. You serve a table with a group of six people. The restaurant has an automatic 18% charge added to a bill of any party of six or more people. The bill includes the 18% automatic gratuity on the "tip line," and the total bill includes this amount. Even though the restaurant distributed the amount to you and bussers, because the customer did not determine the amount of the additional charge and was not given an express option to ignore or change the amount, the 18% charge is not a qualified tip and may not be deducted.

Example 2. You work on the wait staff at a restaurant. When you give customers the bill, you present the customer an electronic handheld point-of-sale (POS) device. Besides the charges for the meal and sales tax, the POS device also prompts the customer to leave a tip, giving the option of 15%, 18%, 20%, other, and no tip. The customer selects 18% and pays the total with a credit card. Because the customer had the right to determine the tip amount, including the option to leave no tip, the 18% is a qualified tip.

Amounts received that are not qualified tips. The following are examples of amounts that are not qualified tips.

- If your employer is in a specified service trade or business (SSTB), tips received as an employee of that employer are not qualified tips. If you are self-employed in an SSTB, tips received in the course of that trade or business are not qualified tips. If you received tips in the course of another trade or business that is not an SSTB, those tips may be qualified tips if they meet the other requirements. For more information on SSTBs, see the instructions for Form 8995-A.

 *Until the issuance of final regulations determining whether a trade or business is an SSTB for purposes of this deduction, and for taxable years beginning before the date the final regulations are published, the IRS will treat employees and self-employed individuals as having received tips in the course of a trade or business that is not an SSTB if the employee is in an occupation that customarily and regularly received tips on or before Decem-*

ber 31, 2024. For more information on the transition relief, see [Notice 2025-69](#).

- Tips received while performing a service that is a felony or misdemeanor under applicable law are not qualified tips. However, tips you received for a service that is legal but were received while working for an establishment that violates applicable law in other respects may be qualified tips.

- Amounts received for prostitution and pornographic activity are not qualified tips.

Example 1. You are an employee who works as a bartender but don't have a license that is required by the state to serve alcohol. State law provides that serving alcohol without a license is a misdemeanor. You received \$10,000 in tips during 2025 while serving alcohol at the bar. "Bartender" is on the list of occupations that customarily and regularly received tips. However, because you served alcohol in violation of applicable state law, the \$10,000 in tips that you received in 2025 are not qualified tips and may not be deducted.

Example 2. You are an employee who works as a server at a restaurant that has a bar that serves alcohol. The restaurant doesn't have a liquor license required by state law. You received \$10,000 in tips in 2025 waiting tables at the restaurant. "Wait Staff" is on the list of occupations that customarily and regularly received tips. Even though the restaurant is in violation of applicable state law by not having a liquor license, because working as a server is legal under state law, the \$10,000 in tips you received in 2025 are qualified tips and qualify for the deduction.

Occupations that customarily and regularly received tips on or before December 31, 2024. In order for a tip to be a qualified tip, it must have been paid to you while you were working in an occupation that customarily and regularly received tips on or before December 31, 2024. The list of occupations that customarily and regularly received tips on or before December 31, 2024, provides for each occupation a numeric Treasury Tipped Occupation Code (TTOC), an occupation title, a description of the types of services performed by individuals working in the

occupation, illustrative examples of specific occupations that would be included, and the Standard Occupation Classification (SOC) system code(s) that related to the occupation.

The full list of occupations, including the TTOC, occupation title, occupation description, illustrative examples, and SOC code(s) can be found at [IRS.gov/TippedOccupations](https://www.irs.gov/TippedOccupations).

Examples of occupations that customarily and regularly received tips on or before December 31, 2024, as well as the occupation title and TTOC, are listed next.

- **Beverage and food service:** bartenders (101); wait staff (102); chefs and cooks (105); dishwashers (108); host staff, restaurant, lounge, and coffee shop (109); and bakers (110).

- **Entertainment and events:** gambling dealers (201), dancers (205), musicians and singers (206), and digital content creators (209).

- **Hospitality and guest services:** baggage porters and bellhops (301), concierges (302), and maids and housekeeping cleaners (304).

- **Home services:** home maintenance and repair workers (401), home landscaping workers and groundskeeping workers (402), home cleaning service workers (407), locksmiths (408), and roadside assistance workers (409).

- **Personal services:** personal care and service workers (501), private event planners (502), private event and portrait photographers (503), pet caretakers (506), tutors (507), and nannies and babysitters (508).

- **Personal appearance and wellness:** massage therapists (602); barbers, hairdressers, hairstylists, and cosmetologists (603); exercise trainers and group fitness instructors (608); and tattoo artists and piercers (609).

- **Recreation and instruction:** golf caddies (701), tour guides (704), and sports and recreation instructors (706).

- **Transportation and delivery:** parking and valet attendants (801), taxi and rideshare drivers and chauffeurs (802), goods delivery people (804), and home movers (809).

Determining the amount of qualified tips received by an employee for 2025. Because no changes have been made to Form W-2 for 2025, a separate account-

ing for cash tips you report to your employer may not appear on your Form W-2 for 2025. For 2026, Form W-2 will be updated to provide for a separate accounting for cash tips you report to your employer.

If you received tips as an employee in more than one occupation for the same employer, only those tips that were received in an occupation on the list of occupations that customarily and regularly received tips on or before December 31, 2024, are considered qualified tips. Do not include tips received in occupations that are not included on this list in line 4a, 4b, or 4c.

In order to determine the qualified tips you received as an employee for 2025, you can figure your qualified tips using one of the methods described in paragraphs 1 through 4.

1. You can use the amount reported to you on your Form W-2 in box 7. Enter this amount on line 4a. If you had more than one employer, see the instructions for line 4c and enter this amount in column 1(b) of the Qualified Tips From More Than One Employer Worksheet.

2. You can use the total amount of tips reported to your employer on all your Forms 4070 or any similar form used to report your tips monthly to your employer. This amount may be more accurate if the amount in box 1 or box 5 is more than \$176,100. Enter this amount on line 4a. If you received tips as an employee from more than one employer, see the instructions for line 4c and enter this amount in column 1(b) of the Qualified Tips From More Than One Employer Worksheet.



If you are a railroad employee who received tips in your RRTA compensation, the tips you report to your employer should be reported to you on your Form W-2, box 14.

3. If your employer voluntarily chooses to report the amount of your tips in box 14 of your Form W-2 (or on a separate statement), you can use the amount reported to you.

4. If you are submitting Form 4137, you can use the amount of qualified tips included for the employer in column 1(c) of Form 4137 to enter on line 4b. If you received tips as an employee from more than one employer, see the instruc-

tions for line 4c and use this amount to enter in column 1(c) of the Qualified Tips From More Than One Employer Worksheet.

Example 1. You are a restaurant server and have only one employer. Your Form W-2, box 7, is \$18,000. You have no unreported tips. You can use the \$18,000 in box 7 to figure the deduction for qualified tips. You enter \$18,000 on Schedule 1-A, lines 4a and 4c.

Example 2. You are a bartender and have only one employer. Your 2025 Form W-2 shows \$200,000 in box 1 and \$15,000 in box 7. You report \$20,000 of tips on Form 4070 and report \$4,000 of unreported tips on Form 4137, line 4. You can use the \$4,000 reported on Form 4137 plus either the \$15,000 from box 7 of your Form W-2 or the \$20,000 of tips reported on Form 4070 to figure the deduction for qualified tips.

Determining the amount of qualified tips received by a non-employee for 2025. Because no changes have been made to Form 1099-NEC, Form 1099-MISC, or Form 1099-K for 2025, a separate accounting for cash tips received by you as a non-employee won't appear on these Forms. For 2025, the separate accounting requirement is treated as satisfied if your qualified tips are included in the total amount of compensation, income, or payments reported to you on one or more of these Forms. For 2026, these Forms will be updated to provide for a separate accounting for cash tips received by you as a non-employee.

Base your determination of the amount of your qualified tips on documentation such as receipts, point-of-sale system reports, daily tip logs, third party settlement organization records, or other documents that show that the amount you reported as qualified tips is the correct amount.

Make sure to keep a record of the documents you use when determining the amount of your qualified tips.

Example 1. You are a rideshare driver and receive a Form 1099-K from the rideshare company that includes tips in the total amount of compensation, income, or payments. The rideshare company reports separately in your earnings statement on its rideshare app or website

Qualified Tips From More Than One Employer Worksheet — Keep for Your Records

1	(a) Name of employer	(b) Amount of qualified tips reported by this employer on Form W-2, or reported by you to this employer on Form(s) 4070	(c) Qualified tips reported on Form 4137, column 1(c), for this employer	(d) Enter the greater of column (b) or column (c)
A				
B				
C				
D				
E				
2	Add lines 1A through 1E, column (d), and enter this amount on Schedule 1-A, line 4c			

the fares you earned and tips you received during the year. In order to figure the amount of your qualified tips for 2025, you can use the amount designated as tips by the rideshare company in your earnings statement on the rideshare app or website.

Example 2. You are a self-employed travel guide who operates as a sole proprietor. In 2025, you received cash tips from customers in connection with guided tours. These tips are voluntarily paid by customers in addition to the stated price of the tour. During 2025, you receive a Form 1099-K from the online booking platform customers use to book the guided tours. The Form 1099-K shows \$55,000 of total payments, of which \$7,000 is customer tips. The Form 1099-K doesn't separately identify the tips, but you keep a log of each tour that shows the date, customer, and tip amount. Because you have daily tip logs substantiating the \$7,000 tip amount, you can use the \$7,000 tip amount to figure your deduction for qualified tips. You enter \$7,000 on Schedule 1-A, line 5.

TIP Only amounts that appear in the aggregate on Forms 1099 can be considered qualified tips. Any "cash tips" received by the tour guide in actual cash that don't appear on Form 1099-K cannot be included in the deduction.

If you received qualified tips in the course of more than one trade or business, see the instructions for line 5 and the Multiple Trades or Businesses Worksheet.

Valid SSN for No Tax on Tips. You and/or your spouse who received qualified tips must have a valid social security number to claim the deduction for qualified tips. A valid SSN for purposes of the deduction for qualified tips is one that is valid for employment and that is issued by the Social Security Administration (SSA) before the due date of your 2025 return (including extensions). If you were a U.S. citizen when you received your SSN, the SSN is valid for employment. If "Not Valid for Employment" is printed on your social security card and your immigration status has changed so that you are now a U.S. citizen or permanent resident, ask the SSA for a new social security card without the legend. However, if "Valid for Work Only with DHS Authorization" is printed on your social security card, your SSN is valid only as long as the DHS authorization is valid.

Line 4a. See *Determining the amount of qualified tips received by an employee for 2025*, earlier, for the amount to enter on this line. If you received qualified tips as an employee with respect to employment with more than one employer, enter -0- on line 4a and see the instructions for line 4c.

Line 4b. Enter the qualified tips included on Form 4137, line 1, row A, column (c). If you have multiple jobs for which you filed a Form 4137, see the instructions for line 4c and the Qualified Tips From More Than One Employer Worksheet.

Line 4c. If you and/or your spouse received qualified tips as employees with respect to employment with more than one employer, complete the Qualified

Tips From More Than One Employer Worksheet.

Line 5. Include the qualified tips you and/or your spouse received in the course of a trade or business, but only to the extent the trade or business in which you received the qualified tips has net income. See [Net income limitation](#), later. If you and/or your spouse received qualified tips in the course of more than one trade or business, complete the Multiple Trades or Businesses Worksheet. If you and/or your spouse received more than three Forms 1099-NEC, 1099-MISC, or 1099-K, then complete as many copies of the worksheet as needed and include the total for all worksheets in column (i) on the row for the business in which you received the Forms 1099.

Net income limitation. Qualified tips from a trade or business can't be more than the gross income from the trade or business in which the qualified tips were received minus the total of all deductions allocable to that trade or business, including the deductible part of self-employment tax; the deduction for contributions to self-employed SEP, SIMPLE, and qualified plans; and the self-employed health insurance deduction, but not including the deduction for qualified tips. After you determine the other deductions that apply to the trade or business in which you earned qualified tips, reduce the net profit (Schedule C, line 31; the total of Schedule E, line 28(g) through 28(k); or Schedule F, line 34) by the amount of these deductions. Do not reduce it below zero. The net income limitation applies to each separate trade or business in which you

Multiple Trades or Businesses Worksheet — Keep for Your Records

1	(a) Name of your business	(b) Net profit of business from Schedule C, line 31; the total of Schedule E, line 28(g) through 28(k); or Schedule F, line 34	(c) Other deductions allocable to the trade or business and not reported on Schedule C, Schedule E, or Schedule F (as applicable)	(d) Subtract column (c) from column (b)	(e) Qualified tip amount from <i>first</i> Form 1099-NEC, box 1; Form 1099-MISC, box 3; or Form 1099-K, box 1a	(f) Qualified tip amount from <i>second</i> Form 1099-NEC, box 1; Form 1099-MISC, box 3; or Form 1099-K, box 1a	(g) Qualified tip amount from <i>third</i> Form 1099-NEC, box 1; Form 1099-MISC, box 3; or Form 1099-K, box 1a	(h) Qualified tip amount from <i>fourth</i> Form 1099-NEC, box 1; Form 1099-MISC, box 3; or Form 1099-K, box 1a	(i) Total qualified tip amount. Add columns (e), (f), (g), and (h)	(j) Enter the lesser of column (d) and column (i)
A										
B										
C										
D										
E										
2	Add lines 1A through 1E, column (j), and enter the total on Schedule 1-A, line 5									

received qualified tips. If you have more than one trade or business in which you received qualified tips, you should allocate the deductions in a reasonable manner.

For example, a sole proprietor who only has one business and received qualified tips in the business, reports deductions allocable to the business on Schedule C, as well as the deduction for self-employment tax on Schedule 1, line 15. The net income limitation will be the net profit shown on the Schedule C for the business, less the amount from Schedule 1, line 15. The sole proprietor would include on line 5 of Schedule 1-A the lesser of (i) the qualified tips received in the business, or (ii) the net profit for the business less the amount from Schedule 1, line 15. If the business shows a net loss on Schedule C, then the sole proprietor would not include any qualified tips received in the business on line 5 of Schedule 1-A.

Example 1. You have a business tutoring for local schools as an independent contractor. You operate your business as a sole proprietorship. During 2025, you received \$500 in qualified tips from students that were reported to you by the schools on Forms 1099-NEC

and reported separately in earnings statements provided by the schools. Your gross income from the business for 2025 was \$5,000 and your deductible expenses from the business are \$500. Your net income limitation from your tutoring business is \$4,500. On Schedule 1-A, line 5, you enter \$500. You can take the full amount of qualified tips from the business into account when figuring your deduction because the net income from that business was more than the amount of qualified tips from the business.

Example 2. You are a rideshare driver who operates as a sole proprietor. During 2025, you received \$1,800 in qualified tips from customers that were reported to you on Form 1099-NEC and reported separately in your earnings statement provided on the rideshare company's app. Your gross income from the business for 2025 was \$15,000 and your deductible expenses from the business were \$14,000. Your net income limitation for this business is \$1,000. You enter \$1,000 of qualified tips on Schedule 1-A, line 5. Do not enter the remaining \$800 of qualified tips. This portion of your qualified tips from the business can't be taken into account in

figuring your deduction because it is more than your net income limitation from the business.

Example 3. The facts are the same as in *Example 1* and *Example 2*, except that you own and operate both businesses. You enter \$1,500 of qualified tips on Schedule 1-A, line 5. This includes \$500 from the tutoring business because the net income from that business was more than the amount of qualified tips received in the course of that business. It also includes \$1,000 in qualified tips from your rideshare business. It does not include the remaining \$800 of qualified tips from your rideshare business because the qualified tips received in the course of the rideshare business are more than the net income from that business by that amount.

Line 10. If the amount on line 10 is zero or less, your deduction for your qualified tips is not reduced. Skip lines 11 and 12 and enter the amount from Schedule 1-A, line 7, on Schedule 1-A, line 13.



For more information on the qualified tips deduction, see [Notice 2025-69](#).

Part III

No Tax on Overtime

Overtime compensation must be included in your gross income and is subject to income tax and generally social security and Medicare tax.

If you have net earnings from self-employment, use Schedule SE to figure the tax due on net earnings from self-employment.

You may be able to claim a deduction for qualified overtime compensation paid to you in 2025 and that is reported on Form W-2, Form 1099-NEC, or Form 1099-MISC. You can claim this deduction whether you claim the standard deduction or itemize deductions on Schedule A or Schedule A (Form 1040-NR).



If you are married, you must file a joint return with your spouse to claim this deduction.



For tax year 2025, qualified overtime was not required to be separately accounted for on Form W-2, Form 1099-NEC, or Form 1099-MISC. See the instructions for lines 14a and 14b for more information about how to identify the qualified overtime included in the amounts reported on these forms.

Fill out Schedule 1-A, Part III, only if:

- You (and/or your spouse if filing a joint return) received qualified overtime compensation in 2025; and
- You have a valid social security number (SSN). If you are married filing jointly, the spouse who received the qualified overtime compensation must have a valid SSN.

Maximum amount of deduction. You can't deduct more than \$12,500 (\$25,000 if married filing jointly) of qualified overtime compensation.



If you are married and filing a joint return, and both you and your spouse have qualified overtime compensation, the \$25,000 maximum amount of deduction limit applies to your combined overtime compensation. It is not a per spouse limit.

The deduction amount (after applying the \$12,500 (\$25,000 if married filing jointly) limit) is reduced if your MAGI is greater than the amount shown next for your filing status.

- Married filing jointly—\$300,000.
- Single, Head of household, or Qualifying surviving spouse—\$150,000.

Your MAGI is the amount on line 3 on Part I of Schedule 1-A.

Qualified overtime compensation. Qualified overtime compensation means overtime compensation that is paid to you as required under section 7 of the Fair Labor Standards Act of 1938 (FLSA) that is more than the amount of your regular rate of pay. This generally means the “half” portion of “time-and-a-half” compensation that is required by the FLSA. This “half” portion may be described by employers on various forms and statements as “overtime premium” or “FLSA Overtime Premium”.

In order for overtime to be required to be paid to you under the FLSA, you must (among other requirements) be covered by and not exempt from the FLSA (an FLSA-eligible employee). If you are ineligible for federal overtime, you are an FLSA-ineligible employee and you generally won't be paid overtime.

If you are an FLSA-eligible employee, you must generally receive overtime pay for hours you work that are more than a 40-hour workweek. Generally, the rate can't be less than one and a half times your regular rate of pay.

Amounts that are not qualified overtime compensation. The following amounts are not qualified overtime compensation and can't be included when figuring your deduction for qualified overtime compensation.

- **Premium pay.** Some employers under a collective bargaining agreement and/or under state law provide more pay than section 7 of the FLSA requires. For example, an employer might choose to pay more than “time-and-a-half.” The amount of overtime paid that is over “time-and-a-half” is not qualified overtime compensation.

- **Payment for holidays and weekends.** Some employers may pay more for certain weekends or holidays even if the employee doesn't work more than 40

hours in the workweek. Extra pay for certain weekends or holidays is generally not qualified overtime compensation if the employee doesn't work more than 40 hours in the workweek.

- **Qualified tips.** Qualified overtime compensation doesn't include any amount you receive as a qualified tip.

- **Coverage under state rules.** Some FLSA-ineligible employees are eligible for overtime under state law or are paid premium rates for certain work for other reasons. Overtime pay that is paid to these FLSA-ineligible employees is not qualified overtime compensation and these amounts can't be included when figuring the deduction for qualified overtime compensation.



Qualified overtime must be paid to a covered, nonexempt employee under the FLSA (an FLSA-eligible employee). Ask your employer or other service recipients whether you are an FLSA-eligible employee. For more information on coverage and exemption under the FLSA, see [WHD Fact Sheets](#), [Overtime Pay](#), and [FLSA Guide](#).

Determining the amount of qualified overtime compensation for 2025. Because no changes have been made to Form W-2, Form 1099-NEC, or Form 1099-MISC to account for a separate accounting of qualified overtime compensation, a separate accounting may not appear on your Form W-2, Form 1099-NEC, or Form 1099-MISC. Some employers may choose to provide for the amount of qualified overtime compensation using Form W-2, box 14. If your employer does provide a separate accounting of your qualified overtime on Form W-2, box 14, you can generally rely on this amount, and the methods described in paragraphs 1 through 5 don't apply to you.



If you request the amount of your FLSA Overtime Premium from your employer or the service recipient, you can rely on the information that is provided to you to determine the amount of your qualified overtime compensation.

If the amount of your qualified overtime compensation isn't separately identified on your Form W-2, Form

1099-NEC, or Form 1099-MISC, you can figure your qualified overtime compensation using one of the methods described in paragraphs 1 through 5.

If your employer is covered by a different overtime rule in section 7 of the FLSA, rather than the general rule in section 7(a), you must compute your overtime compensation using the rule that applies to you and may use any of the following methods so long as it produces a reasonable result under the rule that applies to you. This may apply if, for example, you are a public sector employee in fire protection or law enforcement, or an employee of a political subdivision of a state or an interstate governmental agency who receives compensatory time off instead of cash overtime. See *Example 4* and *Example 5* for how this might apply to certain employees.

1. Statement received separately accounts for overtime. If a statement from your employer separately shows the “half” portion of the “time and a half” compensation (FLSA Overtime Premium), you can use the FLSA Overtime Premium that is separately shown to determine the amount of your qualified overtime compensation.

2. Statement shows the overtime premium and regular wages. If you are paid FLSA Overtime Premium and you receive a statement from your employer or the service recipient and the statement shows the total of all wages for the overtime hours (FLSA Overtime Premium plus regular wages), you can divide the total amount by three (3) and use the result when figuring your qualified overtime compensation.

3. Statement shows the overtime premium and the premium you are paid is more than the amount of the FLSA Overtime Premium. If you are paid more than the amount of FLSA Overtime Premium (for example, your employer pays you double your regular wages) and you receive a statement from your employer or the service recipient that shows the portion of the overtime earnings that is more than your regular wage rate for the overtime hours, then you can multiply that portion by the appropriate fraction to calculate the half portion of FLSA Overtime Premium. See *Example 2* for more information on how to figure the amount of your quali-

fied overtime compensation in this situation.

4. Statement shows the overtime premium and regular wages and the premium you are paid is more than the amount of the FLSA Overtime Premium. If you are paid more than the amount of FLSA Overtime Premium (for example, your employer pays you double your regular rate of pay) and you receive a statement from your employer or the service recipient that shows the total of all pay for the overtime hours (for example, double your regular wages), then you can multiply the total amount by the appropriate fraction to estimate the half portion of FLSA Overtime Premium. See *Example 3* for more information on how to figure the amount of your qualified overtime compensation in this situation.

5. Statement doesn’t show overtime and employer or service recipient won’t provide information. If the statements you receive from your employer or the service recipient don’t show the extra pay or the FLSA Overtime Premium and your employer or service recipient doesn’t give you any additional information, you can use a reasonable method to figure the amount of your qualified overtime compensation, that takes into account:

- The regular rate paid to you by your employer or service recipient, and
- The number of hours over the 40-hour workweek or an estimate if you don’t have records of the actual hours you worked.

 *If you use the method described in paragraph 2 or paragraph 4 to determine the amount of your qualified overtime compensation, and the method results in underestimating your qualified overtime compensation (for example, because your regular rate of pay is increased by a discretionary bonus), you can adjust the method to take the difference into account.*

Make sure to keep a record of the documents you use when determining the amount of your qualified overtime compensation.

Example 1. You are an FLSA-eligible employee. In 2025, you received \$50,000 in regular pay and \$15,000 for

overtime hours worked. Your Form W-2 does not separately show your qualified overtime compensation; however, you have access to your payroll system that shows you were paid \$15,000 for overtime hours in 2025. You can include \$5,000 of your wages for the overtime hours when figuring your deduction for qualified overtime compensation. The \$5,000 is the “half” portion of “time-and-a-half” (\$15,000 divided by 3).

Example 2. You are an FLSA-eligible employee and work for an employer who pays overtime equal to twice the regular pay. In 2025, you were paid \$50,000 for non-overtime hours and \$20,000 for overtime hours worked. Your Form W-2 does not separately show qualified overtime compensation. However, you have a pay stub showing that \$10,000 of the overtime pay was for the normal rate of pay for the overtime hours and \$10,000 of the overtime pay was the premium amount. “Time-and-a-half” would be equal to \$15,000 (the \$10,000 for your regular wage for the overtime hours multiplied by 1.5). The “half” portion of the “time-and-a-half” rate required by the FLSA is \$5,000 (\$15,000 divided by 3). You can include \$5,000 when figuring your deduction for qualified overtime compensation.

Example 3. The facts are the same as in *Example 2*, but your pay stub does not separately show the premium amount of overtime pay that is more than your regular wages. Instead, it shows that \$20,000 was the total amount of pay for the overtime hours. The \$20,000 is double your regular wages for the overtime hours you worked. Your regular wages are \$10,000 (the \$20,000 total amount of overtime pay divided by 2). “Time-and-a-half” would be equal to \$15,000 (the \$10,000 of your regular wages for the overtime hours multiplied by 1.5). The “half” portion of the “time-and-a-half” rate required by the FLSA is \$5,000 (\$15,000 divided by 3). You can include \$5,000 when figuring your deduction for qualified overtime compensation.

Example 4. You work in law enforcement and your employer is covered by a special overtime rule in section 7 of the FLSA. In 2025, you were paid \$15,000 for overtime hours worked on a

Qualified Overtime Compensation From More Than One Employer Worksheet — Keep for Your Records

1	(a) Name of employer	(b) Qualified overtime reported on Form W-2, box 1
A		
B		
C		
D		
E		
2	Add the amounts from lines 1A through 1E, column (b), and enter this amount on Schedule 1-A, line 14a	

Qualified Overtime Compensation From More Than One Payor Worksheet — Keep for Your Records

1	(a) Payor's name	(b) Qualified overtime reported on Form 1099-NEC, box 1, or Form 1099-MISC, box 3
A		
B		
C		
D		
E		
2	Add the amounts from lines 1A through 1E, column (b) and enter this amount on Schedule 1-A, line 14b	

“work period” basis of 14 days. You can include \$5,000 of your overtime pay when figuring your deduction for qualified overtime compensation (\$15,000 divided by 3).

Example 5. You work for a state government agency that is covered by a special overtime rule in section 7 of the FLSA. Your state agency pays compensatory time at a rate of one and one-half hours for each overtime hour worked. In 2025, you were paid wages of \$4,500 for the compensatory time you took off during the year. You can include \$1,500 when figuring your deduction for qualified overtime compensation (\$4,500 divided by 3).

Valid SSN. You and/or your spouse who received qualified overtime compensation must have a valid SSN to take this deduction. A valid SSN for purposes of the deduction for qualified overtime compensation is one that is valid for employment and that is issued by the SSA before the due date of your 2025 return (including extensions). For more information, see *Valid SSN for No Tax on Tips*, earlier.

Line 14a. In most cases, the amount on Form W-2, box 1, includes all of your wages and compensation, including your regular wages plus any qualified over-

time compensation. Enter on line 14a only the qualified overtime compensation amount that is included on Form W-2. Some employers may choose to provide the amount of qualified overtime compensation to employees using box 14 of Form W-2. See *Determining the amount of qualified overtime compensation for 2025*, earlier, to figure the amount to enter on Schedule 1-A, line 14a. Keep a copy of any document you relied on to support your calculation of qualified overtime compensation.

If you and/or your spouse received qualified overtime compensation from more than one employer in 2025, complete the Qualified Overtime Compensation From More Than One Employer Worksheet. If you received qualified overtime compensation that is not included in box 1 of Form W-2 (for example, overtime amounts that are deferred under a qualified retirement plan), enter that amount here. Keep a copy of any document you relied on to support your calculation of qualified overtime compensation.

Line 14b. The amount on Form 1099-NEC, box 1, or Form 1099-MISC, box 3, is your nonemployee compensation or other income, including your compensation and other income plus any

qualified overtime compensation. Enter on Line 14b only the qualified overtime compensation amount that is included in Form 1099-NEC, box 1, or Form 1099-MISC, box 3. Do not enter the total amount from Form 1099-NEC, box 1, or Form 1099-MISC, box 3. See *Determining the amount of qualified overtime compensation for 2025*, earlier, to figure the amount to enter on Schedule 1-A, line 14b. Keep a copy of any document you relied on to support your calculation of qualified overtime compensation.

If you and/or your spouse received qualified overtime compensation from more than one payor in 2025, complete the Qualified Overtime Compensation From More Than One Payor Worksheet.

Line 18. If the amount on line 18 is zero or less, your deduction for your qualified overtime compensation is not reduced. Skip lines 19 and 20 and enter the amount from Schedule 1-A, line 15, on Schedule 1-A, line 21.



For more information on the qualified overtime deduction, see [Notice 2025-69](#).

Part IV

No Tax on Car Loan Interest

You may be able to claim a deduction if you and/or your spouse paid or accrued qualified passenger vehicle loan interest (QPVLI) (see *Qualified passenger vehicle loan interest*, later) in 2025. You can claim this deduction whether you claim the standard deduction or itemize deductions on Schedule A (Form 1040).

Fill out Schedule 1-A, Part IV, only if you paid or accrued QPVLI in 2025.

VIN required on your return. In order to take the QPVLI deduction, you must include the vehicle identification number (VIN) of the purchased applicable passenger vehicle (APV) (see *Applicable passenger vehicle*, later) on your tax return. If you paid QPVLI allocable to multiple APVs, include the VIN of each APV.

If the purchased APV was replaced due to an unforeseen intervening event (for example, a defective APV was replaced under a state lemon law), include the VIN of the substitute APV. For more information, see Proposed Regulations section 1.163-16(c)(3)(ii).

Maximum amount of deduction. You can't deduct more than \$10,000 of the QPVLI you paid or accrued in 2025.

The amount of the QPVLI deduction (after applying the \$10,000 limit) is reduced if your MAGI is greater than the amount shown next to your filing status below.

- Married filing jointly—\$200,000.
- All other filing statuses—\$100,000.

Your MAGI is the amount on line 3 in Part I of Schedule 1-A.

Qualified passenger vehicle loan interest. To qualify for the QPVLI deduction, the interest must be paid or accrued on a loan that generally meets all the following requirements.

1. Your loan was originated after December 31, 2024.
2. The loan was originated by you.
3. The proceeds from your loan were used to purchase an APV (lease payments do not qualify).

4. Your APV is for personal use (which means you don't expect it to be used predominantly for business or commercial use. See *Personal use*, later).

5. Your loan is secured by a first lien on the purchased APV.

Change in obligor by reason of previous obligor's death. The obligor on the loan is generally the person responsible for paying the loan. If a loan met requirements 1 through 5 at the time it was originated by a previous obligor, and you became the obligor by reason of a previous obligor's death, interest paid by you on the loan is generally QPVLI if the loan continues to be secured by a first lien on the purchased APV. A change in obligor by reason of a previous obligor's death could occur, for example, when you inherit an APV subject to a loan originated by the person who died. See Proposed Regulation section 1.163-16(d)(5).

Loan amount. Indebtedness that can be counted for purposes of determining QPVLI includes indebtedness incurred to finance the purchase price of the APV, as well as items or amounts that are customarily financed in an APV purchase transaction and that are directly related to the purchased APV. For example, this includes vehicle service plans, extended warranties, sales tax, and vehicle-related fees. Interest on items and services not customarily financed in an APV purchase transaction and that are directly related to the purchased APV, such as liability insurance, a trailer, or amounts representing debt on a vehicle traded in as part of the purchase transaction for the APV (so-called negative equity), is not eligible for the deduction.

Refinanced loan. If your prior loan that had QPVLI is later refinanced, interest paid on the refinanced amount is generally eligible for the deduction, so long as the new loan is secured by a first lien on the APV with respect to which the refinanced loan was incurred. The loan amount is limited to the outstanding balance of the refinanced loan as of the date of the refinancing.

Applicable passenger vehicle. In general, an APV is any vehicle that meets the following conditions:

- The original use of the vehicle starts with you (a used vehicle does not qualify),
- The vehicle is a motor vehicle manufactured primarily for use on public streets, roads, and highways (not including a vehicle operated exclusively on a rail or rails),
- The vehicle has at least 2 wheels,
- The vehicle is a car, minivan, van, SUV, pickup truck, or motorcycle, and has a gross vehicle weight rating of less than 14,000 pounds, and
- The vehicle has undergone final assembly in the United States.

Final assembly in the United States. The location of final assembly will be listed on the vehicle information label attached to each vehicle on a dealer's premises. You can rely on that information label. You can also rely on the vehicle's plant of manufacture as reported in the VIN to determine whether the vehicle has undergone final assembly in the United States. The [VIN Decoder](#) website for the National Highway Traffic Safety Administration provides plant of manufacture information. You can follow the instructions on that website to see if your vehicle's plant of manufacture is located in the United States.

Personal use. Personal use means a use other than:

- Use in any trade or business (except for the use in the trade or business of performing services as an employee), or
- For the production of income.

You are considered to have purchased an APV for personal use if, at the time you incur a loan to purchase an APV, you expect that the APV will be used for personal use for more than 50% of the time by you and/or any combination of individuals with certain relationships to you, including your spouse; your or your spouse's child, grandchild, father, mother, brother, or sister; as well as an individual who has the same main home as you and is a member of your household.

Example. You purchase an APV that you expect to use to earn income as a driver for a rideshare service for 15% of the time you expect to own the APV. You expect to use the APV for personal use for the remaining 85% of the time.

You are considered to have purchased your APV for personal use.

Interest deducted elsewhere on your return instead of on Schedule 1-A. If some or all of the QPVL I qualifies to be deducted in more than one place on your return, you may choose where to report the deduction, but you cannot deduct the same amount more than once. For example, if you deducted some or all of the interest that you paid or accrued on your loan as interest on Schedule C, Schedule E, or Schedule F, then you can't deduct that same interest as QPVL I on Schedule 1-A.

Line 22. Enter the VIN(s) of the APV(s) on line 22, column (i). If you need to report more than two VINs, attach a statement to your return showing the information required on line 22.

Next, for each entered VIN, enter the QPVL I paid or accrued on the loan originated for the purchase of that APV. On line 22, column (ii), enter the amount of the QPVL I, if any, that was deducted elsewhere on your return (for example, on Schedule C, Schedule E, or Schedule F). On line 22, column (iii), enter the total amount of the QPVL I paid or accrued on the loan during the taxable year minus the amount on line 22, column (ii).

Line 24. The amount on line 24 cannot be more than \$10,000, the maximum amount of the QPVL I deduction.

Line 27. If the amount on line 27 is zero or less, the amount of your QPVL I reported on line 24 is not reduced. Skip lines 28 and 29 and enter the amount from Schedule 1-A, line 24, on Schedule 1-A, line 30.

Part V Enhanced Deduction for Seniors

You may be able to claim the enhanced deduction for seniors. You can claim this deduction whether you claim the standard deduction or itemize deductions on Schedule A or Schedule A (Form 1040-NR).



If you are married, you must file a joint return with your spouse to claim this deduction.



The special rules that apply to U.S. nationals; residents of Canada, Mexico, and South Korea; and residents of India who were students or business apprentices don't apply to the enhanced deduction for seniors. See Pub. 519 for more information.

Fill out Schedule 1-A, Part V, only if:

- You (and/or your spouse if filing a joint return) were born before January 2, 1961.
- You have a valid social security number (SSN). If you are married filing jointly, the spouse who is claiming the enhanced deduction for seniors must have a valid SSN.

Death of a taxpayer in 2025. If a taxpayer was born before January 2, 1961, but died in 2025 before reaching age 65, then the taxpayer doesn't qualify for the enhanced deduction for seniors. A person is considered to reach age 65 on the day before the person's 65th birthday.

Example. Your spouse was born on February 14, 1960, and died on February 13, 2025. Your spouse is considered age 65 at the time of death and would qualify for the enhanced deduction for seniors. However, if your spouse died on February 12, 2025, your spouse isn't considered age 65 and wouldn't qualify for the enhanced deduction for seniors.

Maximum amount of deduction. The maximum amount of the enhanced deduction for seniors is \$6,000 per person. If you are married filing jointly, and both you and your spouse were born before January 2, 1961, and you both have a valid SSN, the maximum amount of the enhanced deduction for seniors is \$12,000. The \$6,000 per person amount is reduced if your MAGI is more than the amount shown next for your filing status.

- Married filing jointly—\$150,000.
- Single, Head of household, or Qualifying surviving spouse—\$75,000.

Your MAGI is the amount on line 3 on Part I of Schedule 1-A.

Valid SSN. You and/or your spouse must have a valid SSN to take this deduction. A valid SSN for purposes of the enhanced deduction for seniors is one that is valid for employment and that is issued by the SSA before the due date of your 2025 return (including extensions). For more information, see *Valid SSN for No Tax on Tips*, earlier.

Instructions for Schedule 2

Additional Taxes

General Instructions

Use Schedule 2 if you have additional taxes that can't be entered directly on Form 1040, 1040-SR, or 1040-NR.

Include the amount on Schedule 2, line 3, in the total on Form 1040, 1040-SR, or 1040-NR, line 17.

Enter the amount on Schedule 2, line 21, on Form 1040 or 1040-SR, line 23; or 1040-NR, line 23b.

Specific Instructions

Lines 1a Through 1z

Additions to Tax

Line 1a. Excess advance premium tax credit repayment. The premium tax credit helps pay premiums for health insurance purchased from the Marketplace. Eligible individuals may have advance payments of the premium tax credit paid on their behalf directly to the insurance company. If you, your spouse with whom you are filing a joint return, or your dependent was enrolled in coverage purchased from the Marketplace and advance payments of the premium tax credit were made for the coverage, complete Form 8962 to reconcile (compare) the advance payments with your premium tax credit. You (or whoever enrolled you) should have received Form 1095-A from the Marketplace with information about your coverage and any advance credit payments. If the advance credit payments were more than the premium tax credit you can claim, the amount you must repay will be shown on Form 8962, line 29. Enter that amount, if any, on line 1a.

You may have to repay excess advance payments of the premium tax credit even if someone else enrolled you, your spouse, or your dependent in Marketplace coverage. In that case, another individual may have received the

Form 1095-A for the coverage. You may also have to repay excess advance payments of the premium tax credit if you enrolled an individual in coverage through the Marketplace, you don't claim the individual as a dependent on your return, and no one else claims that individual as a dependent. For more information, see the Instructions for Form 8962.

Line 1b. Repayment of new clean vehicle credit(s) from Schedule A (Form 8936), Part II. If you purchased a new clean vehicle from a registered dealer and reduced the amount you paid at the time of sale by transferring the credit to the dealer, you may have to repay the amount of the credit you transferred if you no longer qualify. If you completed Schedule A (Form 8936), Part II, and you:

- Checked the "Yes" box on Part II, line 8a or 8d; and
 - Checked the "Yes" box on Part I, line 4a; then,
- enter the amount from Part I, line 4a, on Schedule 2, line 1b.

If you completed more than one Schedule A (Form 8936), Part II, and you need to report an amount from more than one Schedule A (Form 8936), Part II, enter the total of those amounts on line 1b.

Line 1c. Repayment of previously owned clean vehicle credit(s) from Schedule A (Form 8936), Part IV. If you purchased a previously owned clean vehicle from a registered dealer and reduced the amount you paid at the time of sale by transferring the credit to the dealer, you may have to repay the amount of the credit you transferred if you no longer qualify. If you completed Schedule A (Form 8936), Part IV, and you:

- Checked the "Yes" box on Part IV, line 13a or 13c; and
 - Checked the "Yes" box on Part I, line 4a; then,
- enter the amount from Part I, line 4a, on Schedule 2, line 1c.

If you completed more than one Schedule A (Form 8936), Part IV, and you need to report an amount from more than one Schedule A (Form 8936), Part IV, enter the total of those amounts on line 1c.

Line 1d. Recapture of net EPE. Enter any amount of net elective payment election (EPE) recapture from Form 4255, line 2a, column (l).

Line 1e. Excessive payments (EPs) on gross EPE from Form 4255. If you reported an amount on Form 4255, column (n)(1), on line 1a, 1c, 1d, and/or 2a, check the applicable box and enter the amount on line 1e. If you checked more than one box, enter the total amount on line 1e.

Line 1f. 20% EP from Form 4255. If you reported an amount on Form 4255, column (n)(3), line 1a, 1c, 1d, and/or 2a, check the applicable box and enter the amount on line 1f. If you checked more than one box, enter the total on line 1f.

Line 1y. Other additions to tax. Enter the following additions to tax.

1. Recapture of the alternative fuel vehicle refueling property credit (see Form 8911). Identify as "ARPCR."

2. Any EPE related to the credit applied against tax from Form 8933 reported on Form 4255, line 2a, column (k). Identify as "EPE8933."

3. Recapture of any non-EPE credit from Form 8933 reported on Form 4255, line 2a, column (j). Also, any section 6418(g)(3) amounts attributable to recapture from Form 8933 reported on Form 4255, line 2a, column (m)(3). Identify as "NEPE8933."

4. Any amount that was reported on Form 4255, column (n)(2), line 1a, 1c, 1d, and/or 2a. Identify as "EPGEPE."

5. Any section 6418(g)(2) excessive credit transfer amount reported on Form 4255, column (m)(1) and (m)(2). Identify as "6418(g)(2)."



For more information about elective pay and credit transferability, go to [IRS.gov/Credits-Deductions/Elective-Pay-and-Transferability-Frequently-Asked-Questions-Transferability](https://www.irs.gov/Credits-Deductions/Elective-Pay-and-Transferability-Frequently-Asked-Questions-Transferability).

Line 2

Alternative Minimum Tax (AMT)

The AMT exemption amount is increased to \$88,100 (\$137,000 if married filing jointly or qualifying surviving spouse; \$68,500 if married filing separately). The income levels at which the AMT exemption begins to phase out has increased to \$626,350 (\$1,252,700 if married filing jointly or qualifying surviving spouse).

See the Instructions for Form 6251 to see if you must file the form and then use Form 6251 to figure the amount, if any, of your AMT. Enter the amount from Form 6251, line 11, on line 2.

For help with the alternative minimum tax, go to [IRS.gov/AMT](https://www.irs.gov/AMT).

Line 4

Self-employment Tax

On line 4, enter the amount of the tax due on net earning from self-employment from Schedule SE, line 12.

If you filed Form 4361, received IRS approval, and had no other income subject to self-employment tax, check box 1 on line 4.

If you filed Form 4029 and received IRS approval, check box 2 on line 4. See Pub. 517 for details.

If you are a U.S. citizen or resident alien living outside the United States and your self-employment income is exempt from self-employment tax, you should get a statement from the appropriate agency of the foreign country verifying that your self-employment income is subject to social security in that country. Attach a copy of the statement, check box 3, and enter "EAS" on the entry space next to box 3.

If you have income from a business (including farming) and the income is community income, but you aren't the spouse who carried on the business and you had no other income subject to self-employment tax, check box 3 and

enter "ECI" on the entry space next to box 3.

If you received fees for services performed as a notary public and you had no other income subject to self-employment tax, check box 3 and enter "EN" on the entry space next to box 3. If you did have other earnings of \$400 or more subject to self-employment tax, check box 3 and enter "EN" and the amount of your net profit as a notary public from Schedule C on the entry space next to box 3.

For more information, see the Instructions for Schedule SE.

Line 5

Unreported Social Security and Medicare Tax From Form 4137

Enter the total of any taxes from Form 4137.

If you received tips of \$20 or more in any month and you didn't report the full amount to your employer, you must pay the social security and Medicare or railroad retirement (RRTA) tax on the unreported tips.

Don't include the value of any non-cash tips, such as tickets or passes. You don't pay social security and Medicare taxes or RRTA tax on these noncash tips.

To figure the social security and Medicare tax, use Form 4137. If you owe RRTA tax, contact your employer. Your employer will figure and collect the RRTA tax.



You may be charged a penalty equal to 50% of the social security and Medicare or RRTA tax due on tips you received but didn't report to your employer.

Line 6

Uncollected Social Security and Medicare Tax From Form 8919

Enter the total of any taxes from Form 8919.

If you are an employee who received wages from an employer who didn't withhold social security and Medicare tax from your wages, use Form 8919 to figure your share of the unreported tax. Include on line 6 the amount from line 13 of Form 8919. Include the

amount from line 6 of Form 8919 on Form 1040 or 1040-SR, line 1g.

Line 8

Additional Tax on IRAs, Other Qualified Retirement Plans, etc.

If any of the following apply, see Form 5329 and its instructions to find out if you owe this tax and if you must file Form 5329. Also see Form 5329 and its instructions for definitions of the terms used here.

1. You received an early distribution from (a) an IRA or other qualified retirement plan, (b) an annuity, or (c) a modified endowment contract entered into after June 20, 1988, and the total distribution wasn't rolled over.

2. Excess contributions were made to your IRA, Coverdell education savings account (ESA), Archer MSA, health savings account (HSA), or ABLE account.

3. You received a taxable distribution from a Coverdell ESA, qualified tuition program, or ABLE account.

4. You didn't take the minimum required distribution from your IRA or other qualified retirement plan by April 1 of the year following the year you reached age 73.

Exception. If only item (1) applies and distribution code 1 is correctly shown in box 7 of all your Forms 1099-R, you don't have to file Form 5329. Instead, multiply the taxable amount of the distribution by 10% (0.10) and enter the result on line 8. The taxable amount of the distribution is the part of the distribution you reported on Form 1040, 1040-SR, or 1040-NR, line 4b or 5b, or on Form 4972. Also check the box on line 8 to indicate that you don't have to file Form 5329. But you must file Form 5329 if distribution code 1 is incorrectly shown in box 7 of Form 1099-R or you qualify for an exception, such as the exceptions for qualified medical expenses, qualified higher education expenses, qualified first-time homebuyer distributions, or a qualified reservist distribution.